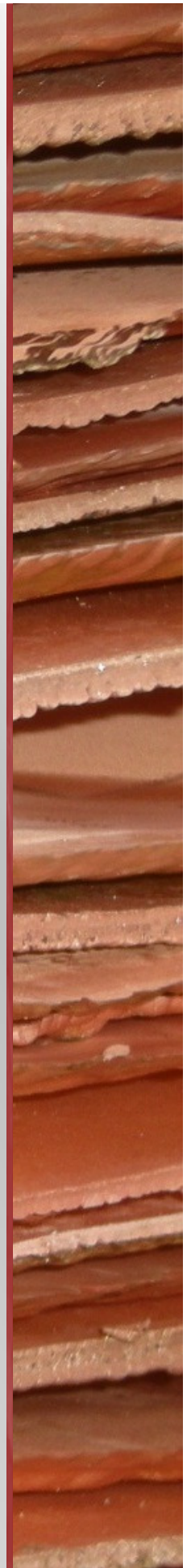


For Release 20 November 2013

Finders Resources Limited

Wetar Copper Project Revised Bankable Feasibility Study





WETAR BANKABLE FEASIBILITY STUDY CONFIRMS SIGNIFICANT IMPROVEMENTS IN PROJECT ECONOMICS

- **BFS capital cost of US\$132.4 million**
- **Cash cost of US\$0.88/lb excluding ramp up and ramp down**
- **Post-Tax project NPV of US\$273 million**

Finders Resources Limited (ASX: FND) (Finders) is pleased to announce that the revised Bankable Feasibility Study (BFS) has confirmed significant improvements in the already robust feasibility of the 95% owned Wetar Copper Project. The key objectives of the revised BFS were to reduce project capital intensity, reduce overall funding requirement, reduce construction time, increase total and maximum copper production and produce earlier stronger cashflow. The BFS has met all of these objectives.

Based on the BFS, the post-tax net present value (NPV) of the Wetar Copper Project is US\$273m¹.

Key financial metrics at various copper prices are set out below:

	Flat LOM Copper Price (US\$/t)				
Price Case	\$6,000	\$6,500	\$7,000	\$7,500	\$8,000
LOM Cash Surplus (US\$m)	338	395	452	509	566
Project NPV ₁₀ (US\$m)	195	234	273	312	351
Project IRR	52%	60%	67%	75%	83%

Finders will use the BFS as the basis for negotiating financing for the project with the objective of completing credit approvals for the senior facilities in the first quarter of 2014.

Other key findings of the BFS include:

- At current copper prices, project EBITDA for the first full year of production would exceed \$132m – a payback period on capital costs of 1 year.
- Project EBITDA Margins exceed 70% at full production and current copper prices.
- Life of mine copper production of 155,000 tonnes over a planned 10.5 year production period.
- Total capital costs are expected to be \$132.4m (before any accuracy provision or contingency). Because of the greater level of detail in the revised BFS, Finders expects any contingency to be reduced.
- Operating cash costs of \$0.88/lb² while the project is operating at efficient production levels.



The study is based on a ramp-up to full production of up to 28,000 tpa copper cathode.

- The existing 1,825 tpa Demonstration Plant is in the process of being upgraded to 2,920 tpa and restarted. First copper is expected in late 2013.
- Full capacity of 28,000 tpa will be reached with re-commissioning and expansion of the Whim Creek plant approximately 15 months after commencement of on-site construction activities. Assuming a first quarter 2013 commencement of equipment mobilisation, full production will be reached by the third quarter of 2015. Once the Whim Creek plant is commissioned the demonstration plant will continue running while there is sufficient copper inventory.

Higher grades and recoveries achieved during the previous demonstration plant phase have the potential to add more than a full year's production and \$70m to the project NPV. Given the high operating margins the project is not overly sensitive to changes in operating or capital costs.

Finders Managing Director, Barry Cahill welcomed the findings of the revised Bankable Feasibility Study.

"The Wetar Copper Project is a first quartile operating cost project driven by the high grade and low open-pit strip ratio. The revised Bankable Feasibility Study has now significantly reduced the capital intensity of the project replacing two smaller SX/EW plants with one large plant. This report confirms the project's strong economic viability and will form the basis for our financing and construction decisions. It leaves Finders well-placed as one of the few ASX listed copper companies moving into production."

Finders will be providing further updates regarding the progress of project financing and the upgrading and restarting of the demonstration plant.

A summary of key findings from the Bankable Feasibility Study is appended.

IMPORTANT NOTES

1. Assumes a 10% post-tax discount rate and a flat copper price of \$7,000/tonne over the life of the mine. All figures are US\$ unless otherwise specified.
2. Operating cash costs exclude royalties (4%), head office expenses and marketing expenses (expected to be zero after netting off sales premiums). Efficient production levels are defined as 1,500 tpm or higher. 85% of the project's copper is produced at these levels.

-ends-

Further information from Finders Resources Ltd, please contact

Gary Comb
Barry Cahill
James Wentworth

Non-Executive Chairman
Managing Director
Chief Financial Officer

+61 2 8084 1812
info@findersresources.com



BANKABLE FEASIBILITY STUDY

Introduction

- The Wetar Copper Project comprises the development, mining and processing of sulphide copper deposits at Kali Kuning and Lerokis located on Wetar Island, Indonesia.
- Mining will be carried out by conventional open pit methods initially at Kali Kuning and from Year 3 also at Lerokis with ore hauled from the open pits to the Kali Kuning ROM pad.
- Finders has operated a 1,825 tpa Cu demonstration plant on site that incorporates heap leaching, solvent extraction (SX) and electrowinning (EW) in its robust flowsheet. This plant is currently being upgraded and is expected to restart before the end of 2013.
- The main SX/EW Plant (25,000 tpa capacity) will be an expansion of the Whim Creek plant purchased from Straits Resources in 2009. Neutralisation is also included, as the demonstration heap leach has shown that the ore is acid generating under normal leaching conditions.
- The processing route for the ore has been designed to handle up to 1.8 Mtpa of sulphide ore to produce a total of 28,000 tpa of LME A Grade copper cathode from both plants. If there is insufficient copper in solution, the demonstration plant will be switched off.
- The Bankable Feasibility Study (BFS) describes the technical and financial position of the project as at November 2013.

Key Bankable Feasibility Study Outcomes

	BFS November 2013
Ore Reserves ¹	8.9 Mt
Strip Ratio	0.9
Initial Mine Life	10.5 years
Ave Cu Grade	2.4%
Cathode Production Capacity	28,000 tpa
LOM Cathode Production	155,000 t
Average Copper Recovery	74%
Operating Cash Cost (efficient production) ²	\$0.88 US\$/lb
Capital Costs (pre accuracy provision and contingency)	US\$132.4m

Notes:

1. There is an additional 0.2MT of Inferred Resource within the pit shell not included in the above Ore Reserves
2. Operating Cash Costs exclude royalties (4%), head office costs and marketing costs (expected to be zero after netting off sales premiums). Efficient production is defined as a run rate greater than 1,500 tpm



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Participants

Key areas of Wetar Copper Project BFS have been undertaken by independent and internationally recognised experts; respective areas of responsibility are as follows:

Area	Participant
Geology & Mineral Resource	H&S Consultants Pty Ltd, Finders
Mining & Ore Reserve	Australian Mine Design and Development (AMDAD) SRK Consultants
Metallurgy	Randolph Scheffel, Finders
Mineral Processing	Electrowin – NeuBau, Resindo, SRK Consultants, Golders Associates
Project Logistics	Finders
Infrastructure	Finders, Electrowin-NeuBau, Resindo
Project Execution	Finders
Capital Costs	PT Madhani Talantah Nusantara, Electrowin-NeuBau, Resindo
Operating Costs	Finders, PT Madhani Talantah Nusantara, Resindo



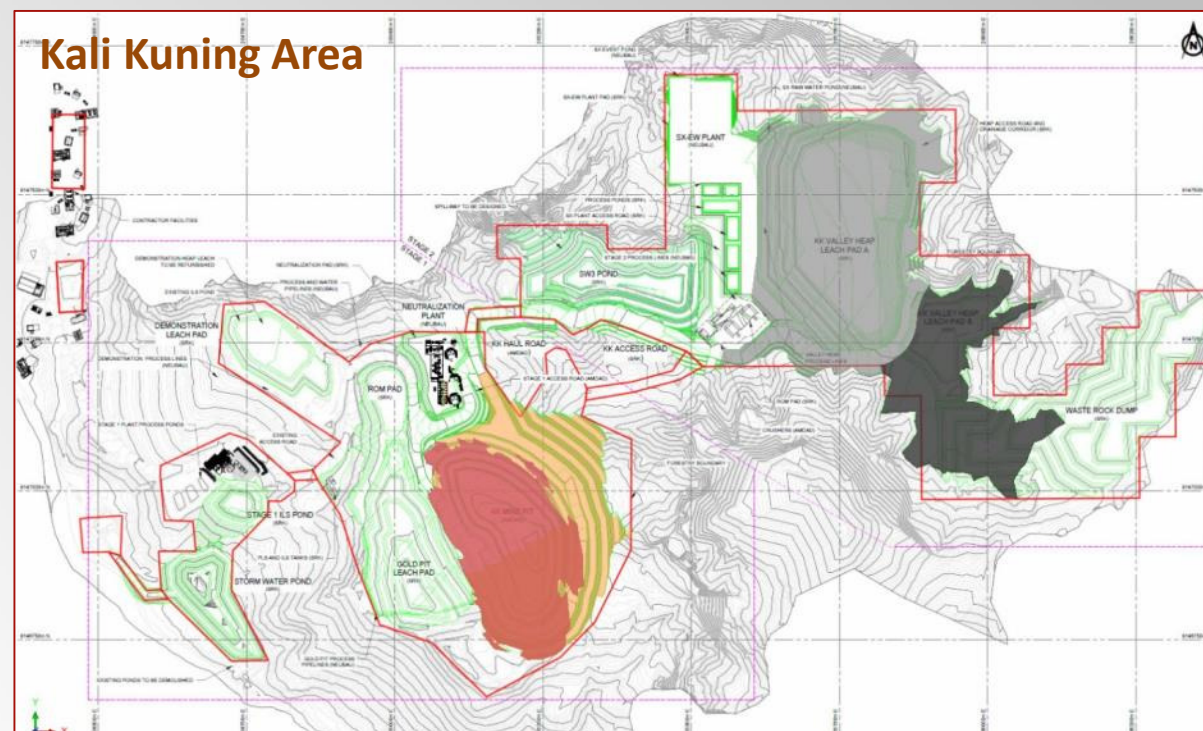
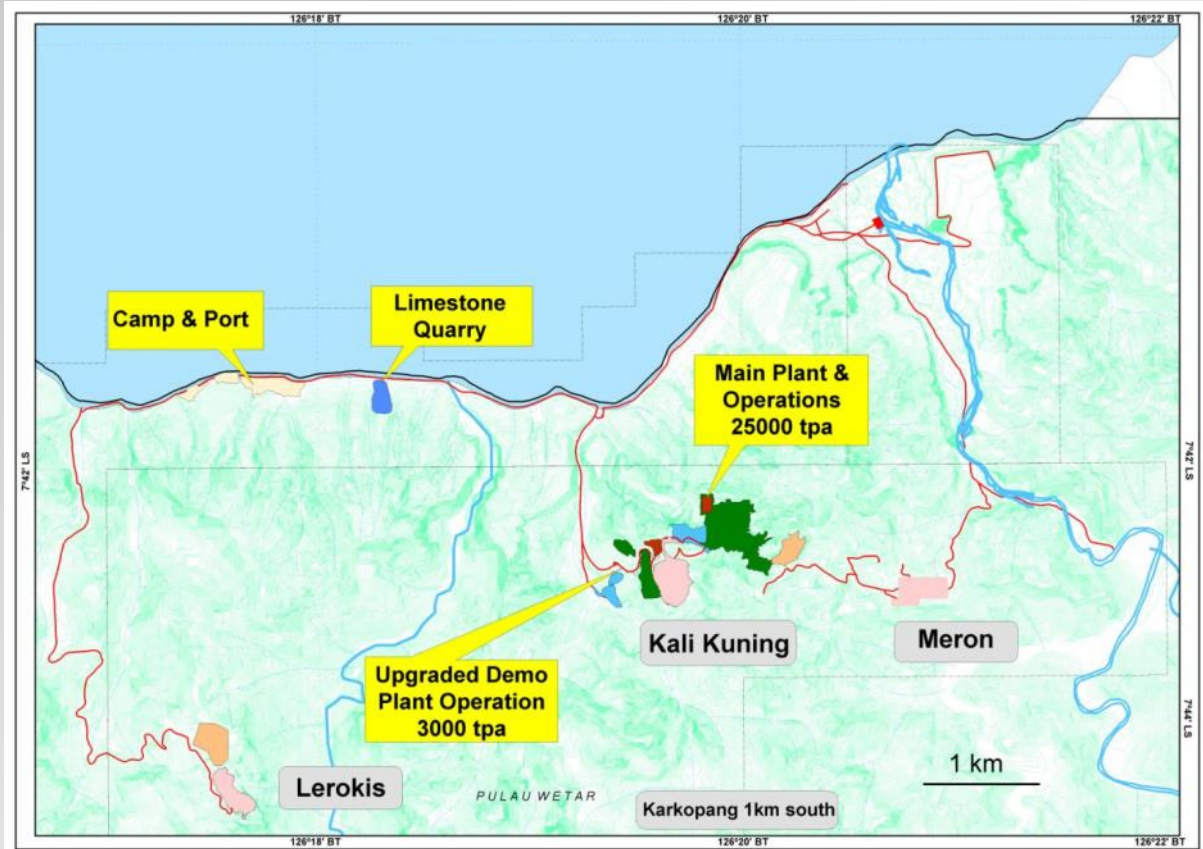
LOCATION

- The Wetar Copper Project is located on the north central coast of Wetar Island and is part of the Maluku Barat Daya Regency (MBD), Maluku Province of the Republic of Indonesia. Wetar Island is a remote island which supports a total population of around 9,000 people. It can be accessed by boat from a number of ports including Alor, Kisar and Atapupu and LCT (landing craft) from Surabaya. The closest villages to the project, Lurang and Uhak, have a population of around 900 people in total.





PROJECT LAYOUT

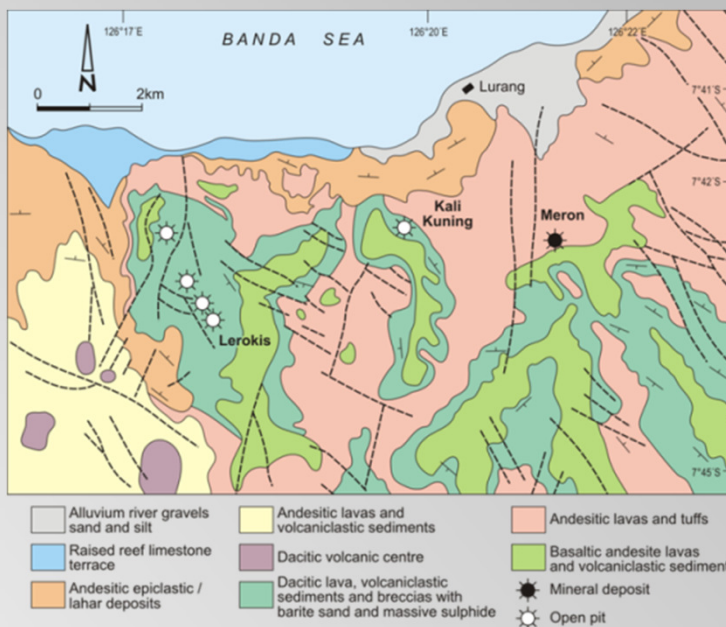




GEOLOGY

Wetar Geological Setting

- The geology of Wetar Island is composed entirely of Neogene volcanic rocks and minor oceanic sediments. Submarine basaltic-andesites with local pillows form the volcanic basement to the island. The basaltic-andesites are intruded by rhyo-dacite domes and overlain by dacitic lavas, tuffs and breccias, debris flows, globigerina limestones and lahar deposits.
- The age of the mineralisation has been estimated at around 4.7 million years.



Kali Kuning massive sulphide
Exposed at end of gold mine era

Copper Mineralisation

- Copper mineralisation at both Kali Kuning and Lerokis occurs predominantly within coherent massive sulphide units with a lesser amount of generally lower grade material occurring within intensely clay-sericite pyrite altered andesitic tuffs in the footwall and lateral extent of the massive sulphide units.
- Based on Finder's drilling, the Kali Kuning massive sulphide resource has been re-classified into three metallurgical sub-types - Leached, Transition zone and Primary massive sulphide. The Leached and Transition types reflect incipient in-situ leaching of the massive sulphide unit by natural groundwater. The Transition zone material although of lower copper grade than the main Primary massive sulphide (1.5% vs 2.9%) contains a higher proportion of readily leachable copper minerals.



MINERAL RESOURCES

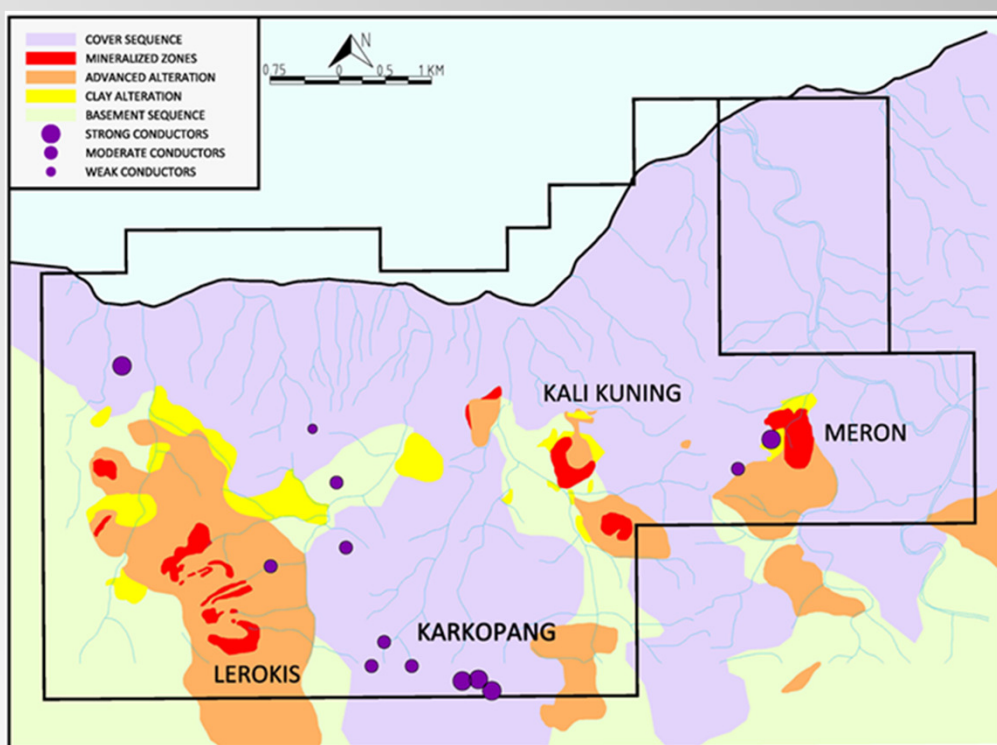
Mineral Resource Estimate

Mineral Resource Estimate – Wetar Copper Project									
	Measured		Indicated		Inferred		Total		
	Mt	Cu%	Mt	Cu%	Mt	Cu%	Mt	Cu%	Cu (kt)
Kali Kuning (Cut-off Grade 0.4% Cu)									
Leached	0.2	0.5	0.03	0.8	0.02	1.1	0.2	0.6	1
Transition	1.1	1.3	0.3	1.5	0.1	1.7	1.6	1.4	22
Primary	4.1	2.8	0.6	2.6	0.1	2.1	4.7	2.8	132
Total	5.4	2.4	1.0	2.1	0.2	1.7	6.6	2.4	155
Lerokis (Cut-off Grade 0.5% Cu)									
Primary	2.1	2.4	0.4	2.2	0.1	1.5	2.6	2.3	61
Total Kali Kuning and Lerokis									
COG as above	7.5	2.4	1.4	2.2	0.3	1.6	9.2	2.4	216

Rounding errors may occur

District Exploration

- Similar style mineralisation and potential for additional resources has been identified near the Kali Kuning deposit at Meron and Karkopang. Partial drilling of Meron by a previous explorer has shown encouraging copper assays.





MINING & ORE RESERVES

Pit Optimisation

- Gemcom Whittle pit optimisation software was used to define economically optimal openpit shapes to guide the detailed pit designs and sequencing assuming a base case copper price of US\$3.00/lb.

Pit Design

- Whittle shells were used to guide detailed pit designs including berm and bench configurations recommended by geotechnical consultants SRK.

Ore Reserve

Ore Reserve Estimate – Wetar Copper Project			
	Category	Tonnage (Mt)	Cu %
Kali Kuning	Proved	5.4	2.4
Cut-off Grade	Probable	0.9	2.1
0.4% Cu	Total Ore	6.3	2.4
	Waste	5.9	
	Ratio	0.9	
Lerokis	Proved	2.1	2.3
Cut-off Grade	Probable	0.4	2.0
0.5% Cu	Total Ore	2.5	2.3
	Waste	1.9	
	Ratio	0.8	
Total	Proved	7.5	2.4
COG as above	Probable	1.4	2.1
	Total Ore	8.9	2.4
	Waste	7.8	
	Ratio	0.9	

Important Note: The tonnes and grades are stated to a number of significant digits reflecting the confidence of the estimate. Since each number and total is rounded individually the columns and rows in the above table may not show exact sums or weighted averages of the reported tonnes and grades. "Ratio" refers to the ratio of the waste to the ore tonnage.



WASTE DUMPS & EARTHWORKS

Mine Earthworks

- The Kali Kuning area will require large volumes of bulk earthworks during the construction phase predominantly to prepare the leach pad, SX-EW plant and stormwater pond areas in the Kali Kuning Valley (KKV or KK Valley).
- The size of the fleet is designed to achieve the bulk earthworks tasks in line with the construction and production schedules. At peak activity periods the fleet would comprise 2 x 80t excavators and 14 x 40t articulated dump trucks plus support equipment. Equipment will be supplied by a mining contractor.
- Specialist earthworks designs for facilities such as the leach pads and process areas were designed by SRK and Golder Associates.

Mine Waste Rock Management

- Mining will commence at Kali Kuning (KK) and all waste rock produced, either from the pit or from construction earthworks, will be used as construction fill material.
- During the first two years, all of the potentially acid forming (PAF) waste rock will be used as fill in the base of the KK Valley pads. The remainder will be stored in the permanent waste rock dump at the head of the KK Valley.





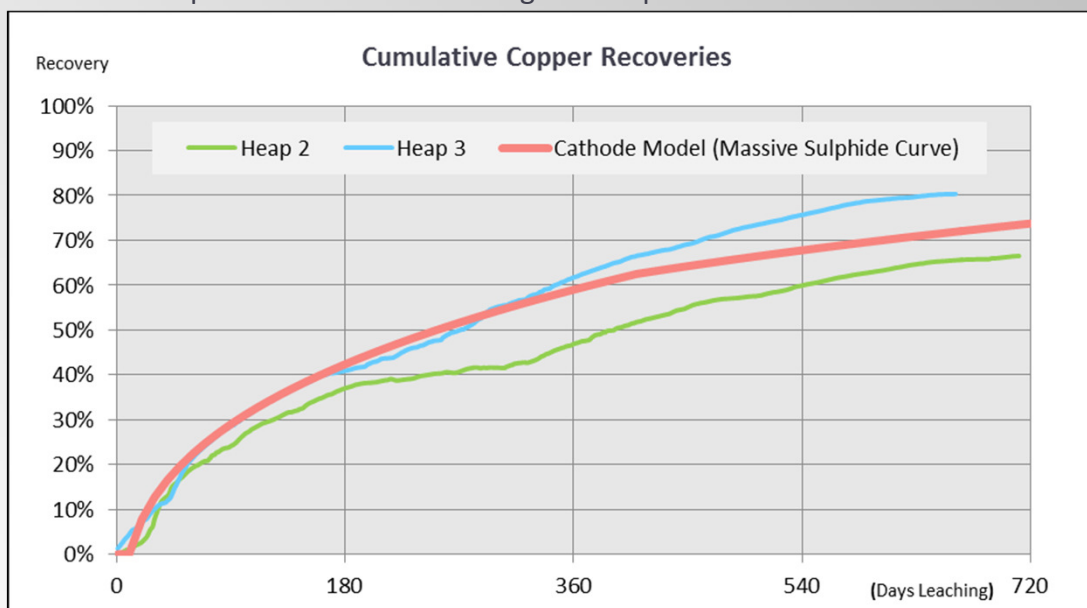
METALLURGY

Mineralogy

- The mineralogy of the Wetar orebodies consists predominantly of primary and secondary copper sulphides hosted in massive pyrite (70% - 85%). The predominant secondary copper mineral is covellite at Kali Kuning. The Lerokis orebody contains mainly covellite and chalcopyrite.

Wetar Demonstration Plant Review

- A 100,000 t bulk sample was crushed and stacked into 4 banded heaps, with variable heights, to allow for testing of different leaching variables in each heap to assess optimum parameters such as crush size, aeration and irrigation rates.
- Heap 3 had the best results with a total recovery of 80.3 % Cu after 645 days leaching estimated from metallurgy accounting. Close down drilling after leaching had been terminated confirmed recovery of 87.5%.
- The average of incremental acid generated for typical heaps was 1.2 kg acid/kg Cu Leached, thus process solutions require neutralisation in commercial operations.
- Irrigation and aeration application rates proved to be effective controls on temperature. Heaps operated at an average sustained ore temperature of 75-85°C.
- The Solvent Extraction and Electrowinning plants achieved nameplate capacity. 99.7% of the cathode produced by the demonstration was sold as LME 'Grade A' product.
- Model leach recovery kinetics based on the commercial scale heap heights during the demonstration phase have been used to generate production leach curves in the BFS.





MINERAL PROCESSING

- Wetar production follows a standard process flow sheet with crushed ore agglomerated and stacked on heaps. Heap aeration and irrigation allows leaching of copper into solution where it is collected and then extracted using standard SX-EW technology to produce copper cathode.
- The BFS adopts the same heap height and modular equipment proven during the Wetar demonstration phase, below:

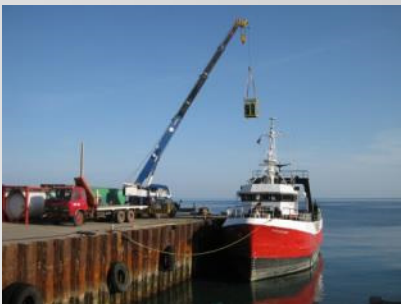




LOGISTICS & INFRASTRUCTURE

Logistics

- The Wetar project site is located in a remote area of east Indonesia however previous mining operations on Wetar Island have demonstrated that logistics will not impede operations. The mine site is only 6km by road from an established port.
- The transport of materials and mobilisation of heavy construction equipment for the demonstration plant construction was performed by large landing craft (LCT). This proved to be a safe and reliable mode of transport and LCTs can be berthed at the wharf facility which was designed specifically for these vessels.
- Surabaya is a key logistics base and a source of fuel for power generation. It will be the consolidation base for the mining fleet, spare parts and consumables prior to shipping by LCT.
- Copper cathode product will be shipped on the same LCTs to a warehouse in Surabaya for transshipment to international and domestic customers.



Infrastructure

- Finders currently rents the former gold mine facilities from the government, including
 - **Roads** : Kali Kuning access is operational. In Year 3, the Lerokis road will be upgraded.
 - **Accommodation Camp** : Existing camp and messing facilities can accommodate up to 450 persons .
 - **Site Buildings** : Existing offices and medical clinic will continue to operate as administration buildings. The explosive magazine is already operational. New process and mining offices will be located at Kali Kuning.
 - **Wharf & Landing Craft Facilities** : The existing wharf can berth two 1,500t LCTs and also accommodate mooring and unloading of boats.
- New Infrastructure in the BFS includes MFO generator power station and fuel farm, HV power supply and distribution and raw water supply.



PROJECT EXECUTION

Approach

- The project is a brown-field expansion of the existing heap leach-solvent extraction-electrowinning operation.
- The project execution is based on an Design and Construct philosophy with engineering managed by Finders and third party consultants.
- Karridale, a Western Australian contractor who dismantled the Whim Creek plant, will provide construction management support at site for the re-installation of the Whim Creek plant.
- Equipment will be delivered to site using chartered LCT's utilising MIF (part of the Meratus Group) for consolidation and freight forwarding of equipment and materials in Surabaya for transport to Wetar.
- Specialist contractors will be used for structural-mechanical-piping (SMP) and electrical and instrumentation (E&I) installation.
- Commissioning engineers will be provided by Australian company PPM Solutions which was responsible for commissioning of the original demonstration plant.

Schedule

- The total construction project duration is 15 months. Assuming timely project finance and permitting, first cathode production from the KKV plant is 15 months from project start.
- Key milestone dates from the project schedule are:

	Q3 2013	Q4 2013	Q1 2014	Q2 2014	Q3 2014	Q4 2014	Q1 2015	Q2 2015
Project Approvals								
Mining of First Ore, Re-start Demo Plant								
Mobilisation of Heavy Equipment								
First Production from Restart Heaps								
Project Finance								
Completion of Storm Water Dam								
First stacking to KKV Heap Leach Pads								
First Main Plant Copper Production								
Commencement of Lerokis Haul Road								



PROJECT MANAGEMENT

The project delivery team is in place

Gary Comb (Chairman)	Previously Managing Director of Jabiru Metals Ltd from 2003 to 2011. Currently a Director of YTC Resources Ltd and Ironbark Zinc Ltd.
Barry Cahill (Managing Director)	Mining engineer with over 25 years' experience. Previous roles include MD of Australian Mines and Norseman Gold and Operations Director of Perilya.
Chris Farmer (Director - Indonesia)	20 years of international experience, VP Phelps Dodge Exploration and Senior Geologist Billiton Indonesia BV. Chris has lived in Jakarta since 1991.
James Wentworth (Chief Financial Officer)	19 years of finance and investment experience with a focus on mining and mining services. Non-Executive Director of Mastermyne (ASX:MYE).
Dean Stuart (General Manager)	Mining engineer with over 20 years experience. Was VP Operations for Avocet Mining (Penjom Mine, Malaysia and North Lanut, Indonesia).
Ray Bailey (Project Manager)	Mechanical and structural engineer with 20 years project experience including MGM coal project in Indonesia, Degussa copper project in Australia and Copper Resources Project in the Congo
Darren Holmes (Operations Manager)	Over 11 years copper SX-EW experience, including commissioning the Lady Annie, Browns Oxide and Leichardt plants.
Greg Brown (Contracts & Logistics)	Materials and Logistics Manager for the Ambatovy Nickel Project, President Director for Linfox Logistics in Indonesia for 7 years.
Demo Plant Crew	Successfully built and operated the Demo plant at Wetar. Experienced nationals supported by local crew trained in all aspects of the project.



CAPITAL & OPERATING COSTS

Capital Costs

- The capital cost estimates for the project have a base date of 19 November 2013 and are expressed in United States dollars. They assume a diesel price of US\$0.88/l, USD = 1.11 AUD and USD = 11,250 Rupiah (IDR). They do not include accuracy provision or contingency.

Capital Costs (USD millions)[	
Mine Development	3.3
Demo Plant Processing Facilities	3.2
Main Plant Processing Facilities	61.5
Utilities	4.2
Infrastructure On Site	15.8
Infrastructure Off Site	18.9
Indirects	15.6
Owners Costs	1.0
Other	9.0
Total Cost - Construction	132.4
Deferred Capex (net of Salvage Value) *	8.0
* Deferred Capex includes development of the Lerokis Haul Road and Mine Closure Costs (total \$18.7m) net of salvage value. Salvage value includes proceeds from sale of inventories, plant and gensets of \$10.7m.	

Operating Costs

- The full production and life of mine operating costs for the Wetar Copper Project are as follows:

Operating Costs (C1*)	
Mining Cost	US\$0.28/lb
Processing Cost - Power	US\$0.27/lb
Processing Cost - Other	US\$0.16/lb
G&A Cost	US\$0.35/lb
TOTAL (Life of Mine)	US\$1.05/lb
C1 Cost – Efficient Production *	US\$0.88/lb
* C1 costs exclude royalties (4%), head office expenses and marketing expenses (expected to be zero after netting off sales premiums); Efficient production is defined as above 1,500 tpm	



PRODUCT SALES AND REVENUE

Copper Product and Quality

- The Wetar Demonstration Plant first produced copper cathode in February 2009. Cumulative production through December 2010, when the plant was decommissioned, was 2,438t. Each product shipment has been comfortably within the LME Grade A Copper specification.

Customers and Off-Take Partners

- All product to date has been sold into Asian markets, principally Taiwan and Thailand, arranged by Finders' off-take partner, Tennant Metals (TM). TM has an off-take contract for 40% of the full-scale project product. Standard Bank has an off-take contract for an additional 40%. Finders is paid 95% of its provisional invoice amount on export customs clearance in Surabaya.
- Off-take for the remaining 20% is uncommitted although off-take may be arranged with another party as part of the financing of the full-scale plant.



Copper Pricing

- Finders has achieved a weighted average premium US\$60 per tonne above LME copper prices for all shipments it has made to date, partly because Asian buyers have lower shipping costs from Indonesia compared to South America and partly due to the physical availability of cathode in Asia.
- Assuming the full-scale project is funded partially by project debt, Finders will likely be required to hedge at least part of its copper production during the term of the project loan.
- Based on current forward prices the hedged price would be expected to be well ahead of any stress test copper price.



OWNERSHIP & LEGAL

Ownership

- Finders currently holds its interest in the Wetar Copper Project through a wholly owned subsidiary, PT Batutua Tembaga Raya (BTR), which is a limited liability foreign capital investment company (PMA) industrial copper plate manufacturer established under the laws of the Republic of Indonesia.
- BTR in turn holds 70% of PT Batutua Kharisma Permai (BKP) which is the registered holder of the mining tenements. The remaining 30% is held by Finders' local partners, Gabriel and Henry Mbatemooy. Under an Ore Sale and Purchase Agreement BKP has agreed to sell all the project ore to BTR. Finders derives profit from both BKP and BTR and collectively this represents a 95% economic interest in the project.
- BKP is the relevant entity for the purposes of Indonesian local ownership requirements. BKP's local ownership of 30% is sufficient to satisfy the local ownership requirements until 2021 by which time the ore will have been completely mined in the absence of any additional discoveries.

Permits

- Key permits for the Wetar Copper Project are as follows:-
 - IUP for Copper Mining Operations to PT Batutua Kharisma Permai. Decree number 543-124 Year 2011, dated 9th June 2011, valid for up to 20 years
 - IUP for Copper Processing and Refining to PT Batutua Tembaga Raya. Decree number 543-125 Year 2011, dated 9th June 2011, valid for up to 20 years
 - An Environmental Impact Assessment (known as AMDAL in Indonesia) relating to the Wetar Copper Project was approved by the Governor of Maluku on 31st March 2010
 - Borrow and use forestry permit SK. 478 / Menhut-II / 2013 dated 3 July 2013 valid for the duration of the Mining IUPs.
- About 50% of the project area occurs within the boundaries of the former gold operations. This land is largely owned by the local government although traditional land rights exist. BTR rents the land from the local government and has compensation agreements in place with traditional land users.
- The Province of Maluku has submitted a new spatial plan in which substantially all the project areas are converted to open ground and no longer administered by the Forestry Department; this re-zoning covers Kali Kuning, Meron and part of Lerokis and is in the final stages of verification. Although not necessary for the project to proceed, the spatial plan would provide additional flexibility in mine design and operations.



FINANCIAL ANALYSIS

Key financial assumptions used in the financial analysis

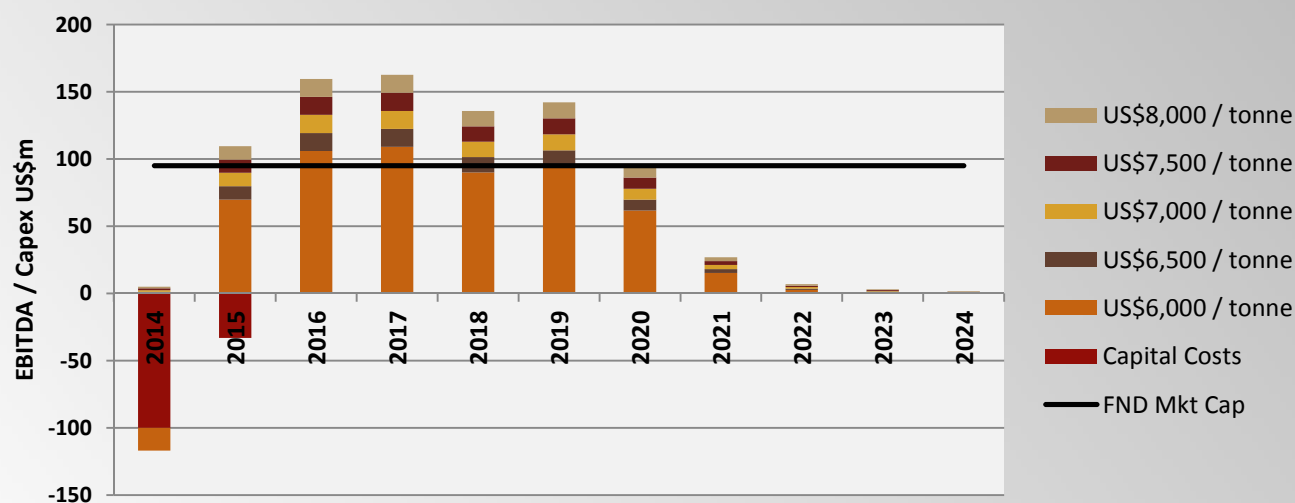
- Copper price for the base case is \$7,000 life of mine which is in line with the forward copper curve as at 15 November 2013.
- Discount rate 10% (approximates Company's weighted average cost of capital, WACC);
- IDR/USD exchange rate 11,250;
- Diesel fuel price US\$0.88/litre, MFO fuel price US\$0.71/litre;
- Tax rate of 25%, royalty rate of 4%.

Key financial ratios

The project is robust at a number of copper price scenarios with short payback periods, strong cash generation and significant NPV₁₀ across a range of copper prices. NPV on an ungeared basis varies ~\$80m for every \$1,000 change in the copper price.

	Flat LOM Copper Price (US\$/t)				
Price Case	\$6,000	\$6,500	\$7,000	\$7,500	\$8,000
LOM Cash Surplus (US\$m)	338	395	452	509	566
Project NPV ₁₀ (US\$m)	195	234	273	312	351
Project IRR	52%	60%	67%	75%	83%

The annual project EBITDA for the project at capacity production above a \$6,000/t copper price equals Finders' current market capitalisation.

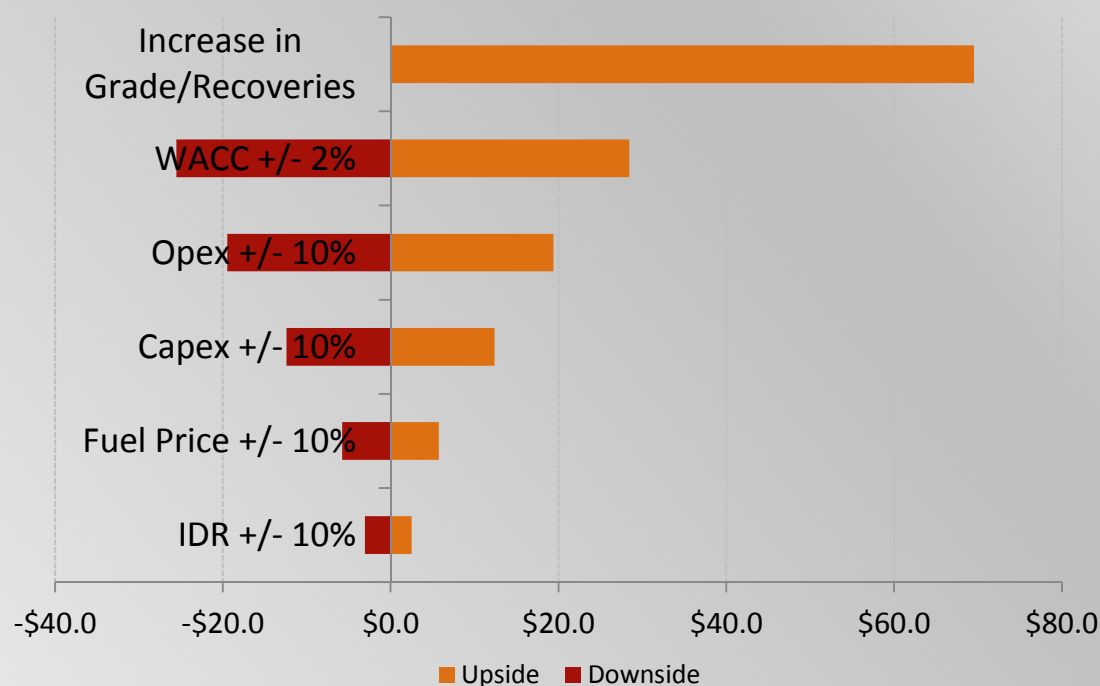




SENSITIVITIES

Higher grades and recoveries achieved during the demonstration phase have the potential to add a full year's production and US\$70m to the project NPV. Given the high operating margins the project is not overly sensitive to changes in operating or capital costs.

Impact on NPV (US\$m)



Key cost drivers for the Wetar Copper project include cathode produced and tonnes mined.

A summary of the key cost items is set out below:

Key Cost Driver	BFS
Mining (\$/tonne ore mined)	\$10.60
Mining (\$/tonne ore, waste and limestone mined)	\$4.77
Power (\$/tonne cathode)	\$595
Reagents (\$/tonne cathode)	\$112
Other Processing (\$/tonne cathode)	\$241
Total Processing (\$/tonne cathode)	\$948



RISKS & OPPORTUNITIES

Risks

■ Project Finance

In addition to the capital expenditure, the total project funding requirement will include contingency, operating losses (including interest and fees) during construction and exploration.

In late 2011, early 2012 Finders received credit approval from Credit Suisse, Barclays and Standard Bank for US\$138m of facilities to finance the project. It also received investment committee approval for a US\$75m mezzanine investment. Both facilities have now lapsed and Standard Bank has since withdrawn from Asian project finance. Commonwealth Bank was selected to replace Standard Bank in the syndicate. All three banks remain supportive of the project but will require credit approval. Finders has also received offers for project level equity investment, mezzanine debt, off-take linked facilities and convertible instruments and will evaluate any formal offers received. The balance of financing after any senior finance and mezzanine is intended to be sourced from equity, most likely in the form of a placement and rights issue.

■ Project Delivery

All of the key personnel involved in the project have significant project experience with many having extensive copper heap leach, solvent extraction-electrowinning backgrounds. The plant has already been acquired and imported to Indonesia. It has operated satisfactorily at two mines previously (Girilambone and Whim Creek). Critical items such as rectifier, pumps, electricals, anodes and cathodes will be replaced and refurbished.

■ Indonesian Sovereign Risk

Finders has a number of local Indonesian partners including Provident Capital, Saratoga Capital and Mr Garibaldi Thohir who between them hold 19% of Finders and Mr Gabriel Mbatemooy who has a 5% economic interest in the project. They have been operating successfully in Indonesia and have a range of investments in ASX listing mining companies and other industries. The local partners provide invaluable advice, networks and guidance in operating in Indonesia and mining more generally.



RISKS & OPPORTUNITIES

Opportunities (continued)

Opportunities

▪ Longer Mine Life

Close out drilling on Heap 3 from the demonstration phase allowed for accurate mass balance calculations and suggested a copper recovery estimate of 87.5%. The resource block model was also reconciled for copper grade against actual mining grades. The actual mining grades reported 3.5% more copper than the block model reflecting poor drill core recoveries used to build the block model. The implications if these results are repeated over the life of mine is an additional years production (approximately) resulting in an extended mine life with no additional mining costs.

▪ Satellite Deposits

The Meron prospect is located around 1 km from the proposed Kali Kuning Valley leach pads and has been partially tested by previous drilling. Like Kali Kuning, Meron is a VMS deposit with a geophysical response of similar size to Kali Kuning with a gold barite cap containing up to 100koz Au equivalent. Likewise Karkopang, 2km South of Kali Kuning contains possible sulphide mineralisation inferred from a cluster of EM anomalies under the cover sequence which typically masks mineralisation. Three other exploration prospects occur on the South Coast and have similar VMS-Au mineralisation styles.

▪ Pyrite Roaster

Finders has completed a desktop study which indicates that a Pyrite Roaster is potentially viable on Wetar. The roaster would be able to process the entire Kali Kuning and Lerokis massive sulphides (10Mt), plus those at Meron (approximately 5Mt). This process would generate around 15Mt of sulphuric acid and increase the copper recovery rate to close to 100% using the existing SX-EW. It may also be possible to extract other precious and base metals from the calcine. The KK and Lerokis sulphides would contain around 330k oz Au and 15m oz Ag. Since the process is exothermic and capable of generating power, potentially costs for the SX/EW plant could be reduced by around \$0.27/lb. Further lab test work will assess the suitability of Wetar ore for roasting and opportunities for raw material supply from other nearby projects, potentially taking advantage of the requirement for in-country processing.



STATEMENTS & DISCLAIMER

Independent Statements

- The information in this report that relates to mineral reserve estimation is based on work completed by Mr John Wyche who is a full time employee of Australian Mine Design and Development Pty Ltd and a member of the Australasian Institute of Mining and Metallurgy. Mr Wyche has sufficient experience which is relevant to the style of mineralisation and type of deposit under consideration and to the activity which he is undertaking to qualify as a Competent Person as defined in the 2004 Edition of the 'Australasian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves'. Mr Wyche consents to the inclusion in the report of the matters based on his information in the form and context in which it appears.
- The information in this report that relates to mineral resource, exploration potential and geology estimation is based on work compiled by Dr Phillip Hellman who is a consultant to H&S Consultants Pty Ltd and a Fellow of the Australian Institute of Geoscientists. Dr Hellman has sufficient experience which is relevant to the style of mineralisation and type of deposit under consideration and to the activity which he is undertaking to qualify as a Competent Person as defined in the 2004 Edition of the 'Australasian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves'. Dr Hellman consents to the inclusion in the report of the matters based on his information in the form and context in which it appears.

Disclaimer

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